

COLLECTION · BUYERS

Financing Your Down Payment

HBP, FHSA and family gifts — build your down payment wisely

READ BEFORE YOU BEGIN

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This guide is provided for informational and educational purposes only. It offers general information about real estate in Quebec and does not constitute personalized real estate, legal, tax or financial advice. As every real estate situation is different, it is recommended that you consult the appropriate professionals before making any decision regarding a real estate transaction.

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Financing Your Down Payment

HBP, FHSA and family gifts — build your down payment wisely

The down payment is often the main obstacle to a first purchase. Good news: several tools, which can be combined, can help you build it faster and with a real tax advantage. You just have to orchestrate them in the right order.

This guide breaks down the minimum down payment, mortgage loan insurance, the HBP, the FHSA and the family gift, with concrete examples adapted to Quebec.

2026 edition note: the ceilings (HBP, FHSA) and down-payment thresholds are indexed or changed regularly. The amounts below are indicative — confirm them with an advisor at the time of your project.

Each chapter ends with a lined “My notes” page to build YOUR down-payment plan.

The down payment is often the main obstacle to a first purchase — but several tools, well combined, ease it: FHSA, HBP, family gifts. This guide explains how much you really need and how to assemble your down payment intelligently.

The ceilings and thresholds (2026 edition) change: this guide gives the logic, to be confirmed with your institution or your mortgage broker.

CHAPTER

How much do you need?

Calculating the minimum down payment and aiming for a realistic goal.

The minimum down payment depends on the price (2026 edition, to be confirmed): 5% up to \$500,000, 10% on the portion from \$500,000 to \$999,999, and 20% from \$1,000,000.

- Example at \$400,000: $5\% = \$20,000$.
- Example at \$650,000: $\$25,000 + \$15,000 = \$40,000$.
- Under 20%, loan insurance (CMHC, Sagen, Canada Guaranty) applies and is added to the loan.

Aiming for 20% avoids loan insurance, but waiting too long to get there also has a cost (rent paid, a rising market). The balance is personal.

The key threshold is 20%: below it, loan insurance (CMHC, Sagen, Canada Guaranty) is added to your financing, which raises the cost but lets you buy sooner. Aim for a realistic goal rather than waiting years to avoid the insurance — the market can rise faster than your savings.

EMILIE'S TIP

Don't necessarily wait until you have 20%. Sometimes buying sooner with 5% and loan insurance is more advantageous than paying rent for two more years while prices climb. We do the math together.

CHAPTER

The FHSA: often the best starting point

Using the most advantageous account for a first purchase.

The FHSA (First Home Savings Account) combines two advantages: your contributions are tax-deductible (like an RRSP) and the withdrawal for a first purchase is tax-free (like a TFSA).

- A ceiling of about \$8,000 per year, up to \$40,000 lifetime (to be confirmed).
- Ideal to open early: even without contributing the maximum, it starts the account and your room.
- Combines with the HBP for a first purchase.

The FHSA combines the best of the RRSP and the TFSA: tax-deductible contributions AND a tax-free withdrawal for a first purchase, within the annual and cumulative limits. It's often the very first account to open when saving for a first home — starting today, to get the clock running.

EMILIE'S TIP

Open an FHSA as soon as buying becomes a goal, even with a small amount: you accumulate contribution room and set up a tax-free withdrawal on the big day.

CHAPTER

The HBP: tapping your RRSP

Withdrawing from your RRSP with no immediate tax, then repaying.

The Home Buyers' Plan (HBP) lets you withdraw from your RRSP — up to \$60,000 per person (a recently raised amount, to be confirmed) — with no immediate tax, for your down payment. You then repay that amount into your RRSP over 15 years.

- An eligible couple can combine two HBPs.
- The funds generally must have been in the RRSP for a certain period before the withdrawal.
- The annual repayment is mandatory; failing that, the unrepaid portion is added to your taxable income.

The HBP lets you withdraw from your RRSP with no immediate tax for the purchase, provided you repay over several years. A missed repayment is added to your taxable income. FHSA and HBP can sometimes be combined — an arrangement to confirm with an advisor to maximize your down payment.

EMILIE'S TIP

The HBP is a loan you make to yourself: think about the annual repayment from the start. Well planned, it boosts your down payment with no immediate tax bill.

CHAPTER

The family gift and the order of withdrawals

Incorporating a gift and orchestrating it all tax-wise.

A gift from a close relative is accepted as a down payment by lenders, provided you supply a gift letter confirming it isn't a repayable loan. It's a topic of its own (see the guide “Helping Your Child Buy a Home”).

The order matters

FHSA, HBP, gift, non-registered savings: the order and timing of withdrawals have a real tax impact (deductions, tax refund, future contributions). A financial advisor or a mortgage broker helps you sequence them to maximize the advantage.

A gift from a close relative is accepted by lenders with a gift letter confirming it isn't repayable. The order of withdrawals (FHSA, HBP, gifts, savings) has a tax impact: plan it so you don't trigger unnecessary tax or weaken your financing file.

EMILIE'S TIP

Before withdrawing anything, make a plan with an advisor. The right FHSA/HBP/gift order can earn you a sizeable tax refund the following spring.

CHAPTER

Beyond the down payment: the cash needed

Planning for all the money required at purchase.

The down payment isn't the only sum to gather. On transaction day, other amounts are required:

- **Notary fees** and disbursements.
- **Welcome Tax** (billed shortly after the purchase).
- **Adjustments** (taxes prepaid by the seller).
- **Start-up costs** and a small emergency cushion.

Emptying your accounts to maximize the down payment means risking being left with no margin from the very first month.

Beyond the down payment, plan for the closing costs (notary, Welcome Tax, adjustments) and an emergency cushion. Emptying your accounts to maximize the down payment means risking being left with no margin from the very first month of ownership.

EMILIE'S TIP

Always keep a cushion after the purchase. A property has its share of small surprises in the first months: better a slightly more modest down payment and an account that can breathe.

IN PRACTICE

Action plan

Your next steps, concretely.

This week

1. Calculate my minimum down payment and my goal.
2. Open an FHSA if it isn't already done.

Within 30 days

1. Meet an advisor to sequence FHSA, HBP and gift.
2. Document any family gift with a gift letter.

Next

1. Confirm the arrangement with a mortgage broker before making an offer.

To build my down payment

1. Open an FHSA right now to start the clock, even with small amounts.
2. Have an advisor quantify the best FHSA/HBP/gift combination for my situation.

REFERENCES

Resources & glossary

- Minimum down payment: 5% (up to \$500k), 10% (\$500k-\$1M), 20% (\$1M+), to be confirmed.
- Loan insurance: required under 20% down payment (CMHC, Sagen, Canada Guaranty).
- FHSA: deductible contribution + tax-free withdrawal for a first purchase (~\$8,000/year, \$40,000 lifetime).
- HBP: RRSP withdrawal up to \$60,000/person, repayable over 15 years (to be confirmed).
- Gift letter: a document confirming that a gift isn't a repayable loan.
- FHSA: an account for a first purchase — deductible contribution and tax-free withdrawal.
- HBP: an RRSP withdrawal with no immediate tax, to be repaid over several years.
- Loan insurance: required under 20% down payment; added to the financing.
- Gift letter: a document confirming that a family gift isn't repayable.
- Closing costs: notary, Welcome Tax, adjustments — on top of the down payment.

GOING FURTHER

Quiz — test your knowledge

1. The minimum down payment under \$500,000 is:

- A) 20%
- B) 10%
- C) 5%
- D) 0%

2. The FHSA combines:

- A) Nothing special
- B) A deduction on contribution AND a tax-free withdrawal for a first purchase
- C) A guaranteed interest rate
- D) A Welcome Tax exemption

3. The HBP lets you withdraw from your:

- A) TFSA
- B) RRSP, with no immediate tax
- C) Chequing account only
- D) Contingency fund

4. The HBP repayment is spread over:

- A) 5 years
- B) 10 years
- C) 15 years
- D) Never

5. The HBP and FHSA:

- A) Are incompatible
- B) Can be combined for a first purchase
- C) Cancel each other out
- D) Are reserved for investors

6. A family gift is accepted as a down payment:

- A) With no condition
- B) With a gift letter confirming it isn't a loan
- C) Never
- D) Only as undeclared cash

7. If the down payment is under 20%:

- A) The purchase is impossible
- B) Loan insurance applies and is added to the loan
- C) The rate is zero
- D) The notary pays

8. The order of withdrawals (FHSA, HBP, gift):

- A) Has no effect
- B) Has a real tax impact to optimize
- C) Is set by law
- D) Depends on the notary

Answer key

- 1. **C** — 5% on the portion up to \$500,000 (ch. 1).
- 2. **B** — The best of both worlds (ch. 2).
- 3. **B** — An RRSP withdrawal repayable over 15 years (ch. 3).
- 4. **C** — 15 years, with a mandatory annual repayment (ch. 3).
- 5. **B** — Often the most powerful combination (ch. 2 and 3).
- 6. **B** — The gift letter is required (ch. 4).
- 7. **B** — CMHC/Sagen/Canada Guaranty (ch. 1).
- 8. **B** — Sequencing optimizes the tax advantage (ch. 4).

Signé PAR Em

*Thank you for reading. May this guide help you
decide with confidence, with all the information
in hand.*

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